EMPLOYMENT PRACTICES LIABILITY INSURANCE POLICY

NOTICES:

This policy is issued by National Technology Insurance Company, Inc., a captive insurance company domiciled in the State of Utah. This captive insurer is not subject to all of the insurance laws and regulations of your state. State insurance insolvency guaranty funds are not available for this captive insurer.

THIS IS A "CLAIMS-MADE" LIABILITY COVERAGE FORM. It provides coverage for Claims first made against an Insured during the Policy Period (or any applicable Extended Reporting Period). Defense Costs reduce the Limit of Liability (unless otherwise stated) and may be applied against the Retention. Please read the entire Policy carefully.

In consideration of the payment of the premium, and in reliance upon the statements made in the **Application**, which is incorporated into and forms a part of this **Policy**, and subject to all of the terms, conditions, exclusions, and endorsements contained herein, the **Insurer** named in the Declarations and the **Insured** agree as follows:

This **Policy** is a binding legal agreement between the **Named Insured** (sometimes referred to herein as "You" or "Your") and the Insurer (referred to herein as "We," "Us," or "Our"). This **Policy** is issued in accordance with the terms stated below.

GENERAL TERMS AND CONDITIONS

SECTION I: TERMS AND CONDITIONS

Unless a specific **Coverage Part** states otherwise, these General Terms and Conditions apply to all **Coverage Parts**. The provisions of a **Coverage Part** apply only to that **Coverage Part**. If a term, condition, or limitation in a **Coverage Part** conflicts with these General Terms and Conditions, the **Coverage Part** controls that **Coverage Part** alone and does not affect any other **Coverage Part**. Any term defined in a **Coverage Part**, including words shown in **boldface**, has the meaning given in that **Coverage Part** when applied to that **Coverage Part**; otherwise, the definitions in these General Terms and Conditions apply.

SECTION II: DEFINITIONS

1. **Application** means all written or electronic statements, documents, warranties, and information submitted by or on behalf of an **Insured** to the **Insurer** for the purpose of underwriting this **Policy** or any prior policy that this **Policy** renews, replaces, or succeeds, including (i) signed applications and attachments, (ii) materials later provided at the **Insurer's** request, and (iii) public filings, if any, made by or for an **Organization** with the Securities and Exchange Commission during the twelve months preceding inception. The **Application** is deemed attached to and incorporated into this **Policy**.
2. **Change in Control** means:
    1. The merger, consolidation, or combination of the **Named Insured** into another entity such that the **Named Insured** is not the surviving entity; or
    2. The acquisition by any person or entity of more than 50% of the outstanding securities, voting securities, or equity interest of the **Named Insured**.
3. **Control** means either (a) direct or indirect ownership of more than 50 percent of the outstanding voting securities of an entity or (b) the contractual right to elect, appoint, or designate a majority of an entity's directors, trustees, managers, or equivalent governing persons.
4. **Coverage Part** means, to the extent purchased as identified in the Declarations, any of the following coverage sections of this Policy, which may be amended by Endorsement: Directors and Officers Liability, Employment Practices Liability, Fiduciary Liability, Cyber Liability, Technology Errors & Omissions Coverage, and Media Liability Coverage.
5. **Defense Costs** means the reasonable and necessary fees, costs and expenses incurred in the investigation, defense, or appeal of a Claim, including the cost of appeal bonds or similar bonds (without any obligation to furnish such bond on the part of the Insurer). **Defense Costs** shall not include wages, salaries, fees or benefit expenses associated with any **Insured Person** or the **Organization**'s overhead expenses.
6. **Employee** means any natural person:

1. whose labor or service is or was directed by the **Organization** as an employee on a full-time or part-time basis; and
2. solely under this Policy's Employment Practices Liability **Coverage Part**, temporary, seasonal, and leased employees, volunteer workers, and applicants or prospective employees seeking employment with the **Organization**;

but only while the person is acting in such capacity, and shall not include any independent contractors.

7. **ERISA** means the Employee Retirement Income Security Act of 1974, as amended, including its rules and regulations, and any similar law.
8. **Executive** means:
   1. any duly elected or appointed director, officer, member of a management or supervisory board, in-house general counsel, advisory-board member, natural-person general partner, or foreign equivalent of an **Organization**;
   2. the lawful spouse or domestic partner of any of the persons set forth in the above 1. of this definition, but only to the extent the spouse or domestic partner is a party to any **Claim** solely because of his or her status as the spouse or domestic partner of any such person and only for the purposes of any **Claim** seeking damages recoverable from marital community property, property jointly held by any such person and the spouse or domestic partner, or property transferred from any such person to the spouse or domestic partner; and
   3. the estates, heirs, legal representatives, trusts, estate planning vehicles or assigns of any of the persons set forth in 1. of this definition, but only in the event of such person's death, incapacity, or bankruptcy.
9. **Indemnifiable Loss** means **Loss** that the **Organization** is permitted or required to pay to or on behalf of an **Insured Person** under law, corporate charter, bylaws, or written agreement.
10. **Insolvency** means the appointment of a receiver, conservator, liquidator, trustee, rehabilitator, or similar official to manage, supervise, or liquidate an **Organization**, or the **Organization** becoming a debtor in possession within the meaning of the United States Bankruptcy Code or similar legal status under foreign law.

K. **Named Insured** means the legal entity designated in the Declarations as the **Named Insured**.

L. **Non-Indemnifiable Loss** means **Loss** that the **Organization** is neither permitted nor required to pay to or on behalf of an **Insured Person** under law, corporate charter, bylaws, or written agreement.

13. **Organization** means the **Named Insured** and any **Subsidiary**, including any such entity as a debtor in possession within the meaning of the United States Bankruptcy Code or similar legal status under foreign law.
14. **Policy** means, collectively, the General Terms and Conditions, Declarations, all **Coverage Parts** indicated as purchased, and all Endorsements.
15. **Policy Period** means the time period shown in the Declarations, subject to earlier cancellation in accordance with **Policy** terms.

16. **Contaminant** means any solid, liquid, gaseous, biological, thermal or radioactive substance that can irritate, corrupt or harm persons, property, water, air or soil, including by-products and waste.
17. **Regulatory Body** means any federal, state, local or foreign law enforcement or governmental authority or the enforcement unit of any securities exchange or similar self-regulating body.
18. **Related Claims** means all **Claims** based upon, arising out of, or in any way involving the same **Wrongful Acts** or **Related Wrongful Acts**, regardless of the number of claimants, **Insureds**, or proceedings.
19. **Related Wrongful Acts** means any **Wrongful Acts** which have as a common nexus any common fact, circumstance, situation, event, transaction, cause or series of causally related facts, circumstances, situations, events, transactions, or causes.
20. **Senior Executive** means the Chief Executive Officer, Chief Financial Officer, President, Chief Operating Officer, or General Counsel (or any individual serving in an equivalent position) of the **Organization** or any person who signed the **Application**.
21. **Subsidiary** means any entity over which the **Named Insured** has **Control**, including any not-for-profit entity exclusively controlled by the **Named Insured**.

SECTION III. LIMITATIONS OF LIABILITY

1. **Policy Limit of Liability** – The Policy Limit of Liability stated in the Declarations is the maximum amount We will pay under this **Policy** for all **Loss** covered by all **Coverage Parts** combined.
    1. Any **Loss** paid under one **Coverage Part** shall reduce the remaining Policy Limit of Liability available for **Loss** under all other **Coverage Parts**.
    2. If a single **Claim** is covered under multiple **Coverage Parts**, the most We will pay for that Claim will not exceed the highest single **Coverage Part** limit applicable to that **Claim**.
2. **Coverage Part Aggregate Limit of Liability** – Subject to the Policy Limit of Liability, any **Coverage Part** Aggregate Limit of Liability stated in the Declarations is the most We will pay under the respective **Coverage Part** for all **Claims** covered under that **Coverage Part**. Each **Coverage Part's** Aggregate Limit of Liability is part of, and not in addition to, the Policy Limit of Liability.
3. **Coverage Limits of Liability** – Subject to the Policy Limit of Liability and any applicable **Coverage Part** Aggregate Limit of Liability, each Coverage Limit of Liability stated in the Declarations for an Insuring Agreement is the maximum we will pay under that respective Insuring Agreement.
4. **Sublimits of Liability** – Any Sublimit of Liability, if any, stated in the Declarations is the most We will pay for all **Loss** that is subject to that Sublimit. Each such Sublimit is part of, and not in addition to, the applicable **Coverage Part** Limit of Liability and the **Policy** Limit of Liability.

5. **Defense Costs** – **Defense Costs** are part of, and not in addition to, the Limits of Liability applicable to each **Coverage Part**. Payment by Us of **Defense Costs** will reduce and may exhaust the applicable Limit of Liability.
6. **Exhaustion of Limits** – If any applicable Limit of Liability under this **Policy** is exhausted by the payment of **Loss**, our obligations under this **Policy** (including, without limitation, any duty to defend) shall be completely fulfilled and extinguished. We are entitled to pay **Loss** as it becomes due and payable, without consideration of any other future potential payment obligations under this **Policy**.

SECTION IV. COVERAGE TERRITORY

This **Policy** applies to **Claims** on a worldwide basis unless otherwise stated in a particular **Coverage Part**, and always subject to applicable law and sanctions. All premiums, Limits of Liability, Retentions, **Loss**, or other amounts under this **Policy** are expressed and payable in the currency of the United States of America (U.S. dollars). If any judgment, settlement, or other element of **Loss** under this **Policy** is stated in a currency other than U.S. dollars, payment under this **Policy** shall be made in U.S. dollars at the rate of exchange published in *The Wall Street Journal* on the date the final judgment is entered, the settlement amount is agreed upon, or the other element of **Loss** becomes due.

However, this **Policy** will not apply in any country or territory where such application would violate the laws of the United States. This includes, but is not limited to, any country or region that is subject to U.S. economic or trade sanctions or export control laws administered by the U.S. Treasury Department's Office of Foreign Assets Control (OFAC) or other applicable U.S. government agencies.

SECTION V. RETENTIONS

1. Our liability to pay **Loss** on account of any **Claim** shall apply only to that part of the **Loss** which is in excess of the applicable Retention amount stated in the Declarations. We will have no responsibility to pay any **Loss** until the applicable Retention has been fully satisfied. You shall be responsible for payment of the Retention, which shall remain uninsured. Payment of any Retention shall not reduce the Limits of Liability under this **Policy**.
2. If a single **Claim** (including any **Related Claims**) is covered in whole or in part under more than one **Coverage Part**, the Retention applicable to each **Coverage Part** will apply to the **Loss** covered under that **Coverage Part**. However, the sum of all Retentions applicable to such **Claim** shall not exceed the largest applicable Retention among the **Coverage Parts** involved.
3. If any covered **Loss** within an applicable Retention is paid on behalf of an Insured (including on behalf of an Insured Person) by any source other than You, such payment will erode or reduce the Retention to the extent of that payment. This includes payments made under another valid insurance policy (such as a Side-A Difference-In-Conditions policy specifically excess of this **Policy**).
4. No Retention shall apply to **Non-Indemnifiable Loss**.

SECTION VI. RELATED CLAIMS

All **Related Claims** shall be deemed to be one single **Claim** for the purposes of this **Policy**. Such **Claim** shall be deemed first made on the date the earliest of the **Related Claims** was first made against any **Insured**, regardless of whether that date falls before, during, or after the **Policy Period**. In no event shall a single lawsuit or proceeding be treated as more than one **Claim**, even if it involves multiple claimants or causes of action or alleges multiple or different **Wrongful Acts**.

SECTION VII. EXTENDED REPORTING PERIOD

1. **Automatic Extended Reporting Period:** No automatic extended reporting period applies under this **Policy**. Coverage for **Claims** first made after the end of the **Policy Period** is available only if the **Named Insured** elects to and purchases an Optional Extended Reporting Period pursuant to Section VII.B.
2. **Optional Extended Reporting Period:**
    1. If any **Coverage Part** is cancelled or not renewed by Us or by You, then You shall have the right to purchase an Optional Extended Reporting Period for that **Coverage Part**, which will begin immediately after the effective date of cancellation or nonrenewal. This Optional Extended Reporting Period (if purchased) will extend the time period during which you may report **Claims** to us under the cancelled/non-renewed **Coverage Part**, but only for **Claims** arising from **Wrongful Acts** that occurred entirely prior to the effective date of cancellation or nonrenewal.
    2. The available durations (time periods) for the Optional Extended Reporting Period and the additional premium amounts for each are set forth in the Declarations. To exercise this right, you must provide written notice to us of your election and pay the applicable additional premium within 60 days after the effective date of cancellation or nonrenewal. Once 60 days have passed after the cancellation or nonrenewal, the right to purchase the Optional Extended Reporting Period for that **Coverage Part** expires.
    3. If an Optional Extended Reporting Period is purchased, the entire additional premium for it shall be deemed fully earned at the inception of the Optional Extended Reporting Period. The Optional Extended Reporting Period cannot be cancelled by either You or Us after it has been activated (except in the event that the **Policy** is reinstated or renewed without a lapse in coverage).
    4. The Optional Extended Reporting Period does not increase the Limits of Liability under this **Policy**. The available Limits of Liability for **Claims** reported during any Extended Reporting Period are those remaining under the **Policy** (and applicable **Coverage Part**) as of the end of the Policy Period, and **Loss** paid towards **Claims** falling within the Extended Reporting Period erode and may exhaust the applicable Limits of Liability.
    5. Except as otherwise provided in **SECTION IV. RELATED CLAIMS**, a **Claim** first made against an Insured during any Optional Extended Reporting Period and properly reported to us in accordance with the **Policy** shall be deemed to

have been made on the last day of the Policy Period, provided the Claim arises from a Wrongful Act occurring prior to the effective date of cancellation or nonrenewal.

SECTION VIII. DEFENSE OF CLAIMS AND SETTLEMENT

1. **Duty to Defend:** We will and have the right and duty to defend any **Claim** against an **Insured**, even if the allegations in such **Claim** are groundless, false or fraudulent. This duty to defend applies only to **Claims** covered by one or more **Coverage Parts** of this **Policy** and shall cease when the applicable Limit of Liability (whether a **Coverage Part** limit or the **Policy** Limit) has been exhausted by payment of Loss.
2. **Cooperation, Settlement and Consent:**
    1. **Insured's Duty to Cooperate:** The **Insureds** agree that they will not admit or assume any liability, voluntarily enter into any settlement agreement, stipulate to any judgment, or incur any **Loss** without Our prior written consent, with such consent not to be unreasonable withheld. We shall not be liable for, nor bound by, any settlement, assumed obligation, admission of liability, or **Defense Costs** to which We have not agreed in writing. However, if you are able to settle a **Claim** for an amount (including **Defense Costs**) that does not exceed the applicable Retention, our consent is not required for that settlement. In that event, You must promptly notify Us of the resolution of the **Claim** and provide details of the settlement.

       The **Insureds** agree to cooperate with Us in the investigation, defense, and settlement of any **Claim**. The **Insureds** further agree to provide Us any such information, assistance, and cooperation as We or defense counsel may reasonably request.
    2. **Insurer's Right to Settle:** We shall have the right to investigate any **Claim** and to make any settlement offer we deem appropriate in a **Claim**, but we will not commit to any settlement without the consent of the **Insured**, such consent not to be unreasonably withheld.
    3. **Consequences of Refusal to Consent (Hammer Clause):** If We recommend a settlement of a **Claim** within the remaining applicable Limit of Liability and the **Insured** does not consent to such settlement, our liability for that **Claim** shall not exceed the amount for which the **Claim** could have been settled, plus **Defense Costs** incurred up to the date that the **Insured** refused consent. In such case, We will have the right to withdraw from the further defense of the **Claim**, and you shall assume the defense of the **Claim** at your own cost. Our obligation to pay any further **Loss** for that **Claim** will cease once We have paid the amount of the proposed settlement (plus **Defense Costs** incurred up to the refusal date), subject to the applicable Limit of Liability.

SECTION IX. NOTICE OF CLAIMS AND POTENTIAL CLAIMS

1. **Notice of Claims:** As a condition precedent to coverage under this Policy, the Insured (or the Named Insured on behalf of any Insured) must give written notice to us of any Claim made against an Insured as soon as practicable after a **Senior Executive** first becomes aware of the **Claim**. In all events, such notice of Claim must be given no later than ninety (90) days after the end of the **Policy Period** (or within any applicable Extended Reporting Period).
2. **Effect of Late Notice:** If the Insured fails to give notice of a Claim as soon as practicable as required in IX.A above, such failure shall not invalidate coverage for the Claim **unless** we demonstrate that we have been materially prejudiced by the late notice. In other words, we will not deny coverage based solely on a failure to give prompt notice, except to the extent that the delay has caused us actual material prejudice in our ability to defend or respond to the Claim.
3. **Notice of Circumstances (Potential Claims):** If during the Policy Period (or any applicable Extended Reporting Period) an Insured first becomes aware of any specific Wrongful Act, fact, or circumstance that could reasonably give rise to a future Claim, the Insured may provide written notice to us of such circumstances. If such notice is given to us during the Policy Period (or Extended Reporting Period), then any Claim that is subsequently made against an Insured arising from those reported circumstances shall be deemed to be a Claim first made during this Policy Period (on the date we received the notice of circumstances). We will treat any such subsequent Claim as if it had been reported at the time of the original notice of circumstances.
4. **Contents of Notice of Circumstances:** If you choose to report circumstances that may give rise to a Claim, you should include the following information in your notice (to the extent known):
    1. A description of the specific Wrongful Act(s) or alleged wrongful conduct at issue, and the circumstances in which it occurred or is suspected to have occurred;
    2. The nature of any potential or alleged damage or injury that may result from such circumstances;
    3. The identities of any potential claimants (persons or entities likely to bring a Claim) and any Insureds known to be involved in or affected by the matter; and
    4. The manner in which you first became aware of the Wrongful Act, fact, or circumstance (including the date it came to your attention).
    5. Providing as much detail as possible will help establish any later Claim as relating back to this notice of circumstances.
5. **Notices from Insurer to Insured:** Any notices required to be given by us to you (such as notice of cancellation or non-renewal, if applicable) shall be sent in writing to the Named Insured at the address specified in the Declarations, or to any updated address of record provided to us in writing. Such notice will be effective upon mailing or electronic transmission by us to that address.
6. **Optional Notice Provisions:** If any Coverage Part of this Policy provides that you **may** (but are not required to) provide notice of an incident, event, or potential claim to us (sometimes called a “notice of circumstance” or similar provision), your decision not to give such optional notice will not prejudice your right to coverage for a Claim arising from

the incident or event at a later date. In other words, if a Coverage Part permits but does not require early notice of a potential Claim, the failure to exercise that option will not, in itself, prevent you from obtaining coverage for a related Claim, provided that the Claim is reported in accordance with the terms of this Policy (or any renewal or replacement of this Policy).

SECTION X. COOPERATION

You (as identified in the Application or Endorsements) agree to provide us with all information, assistance, and cooperation which we may reasonably request in connection with any Claim, potential Claim, or circumstance notified under this Policy. This includes assisting in the investigation, defense, and settlement of Claims, attending hearings and trials, securing and giving evidence, obtaining the attendance of witnesses, and conducting negotiations. In the event of any Claim, you further agree not to do anything that could intentionally prejudice our position or our potential or actual rights of recovery.

The failure of any one Insured to cooperate with us as required by this section shall not be imputed to any other Insured. No Insured shall be denied coverage under this Policy solely because of the failure of another Insured to give notice or to cooperate with the investigation and defense of a Claim.

SECTION XI. ALLOCATION

If, in any Claim, an Insured incurs both covered Loss and uncovered loss (because some of the allegations or causes of action in the Claim are covered by this Policy and others are not, **or** because the Claim includes both Insured parties and others who are not insured under this Policy), we will allocate the Loss between covered and uncovered amounts as follows:

1. **Defense Costs:** 100% of Defense Costs incurred in defending a Claim will be considered covered Loss, and we will pay Defense Costs in full (excess of any applicable Retention) to defend the entire Claim, even if the Claim includes matters or parties not covered. We reserve the right to later reallocate Defense Costs in the event it is finally determined that certain Defense Costs were incurred exclusively in relation to non-covered matters, but we will advance Defense Costs for the entire Claim pursuant to Clause VIII.A., pending any such determination.
2. **Other Loss:** Loss other than Defense Costs (including damages, settlements, judgments, and awards) shall be allocated between covered Loss and uncovered loss based on the relative legal exposure and financial exposure of the parties to the covered and uncovered matters. This allocation will take into account the extent to which any covered Wrongful Acts and any uncovered conduct or parties contributed to the Loss amount.

We and you shall use our best efforts to agree upon a fair and proper allocation of Loss. If we and you cannot agree on the allocation, we will, until a final allocation is agreed upon or determined, advance the portion of the Loss which we believe in good faith to be covered under this Policy (subject to applicable limits of liability). The allocation of Loss (if disputed) may be determined by mediation, arbitration, or a final judgment or decision of a court or other adjudicative body.

SECTION XII. COORDINATION OF COVERAGE

If a single Claim gives rise to Loss that is covered under more than one Liability Coverage Part, the Claim will be treated as one loss event. We will pay only once for that Loss, and our total payment will not exceed the smallest of:

1. the actual amount of Loss;
2. the sum of the available Limits of Liability for each applicable Coverage Part that does **not** share a combined limit; or
3. the combined Limit of Liability shown in the Declarations for any applicable Coverage Parts that share such a limit.

The overall Policy Limit of Liability always applies. Allocation of the payment between Coverage Parts is for accounting purposes only and does not increase our total obligation.

Special Provision for Insured Person Loss: Notwithstanding the order of coverage above, if a single Claim includes any **Non-Indemnifiable Loss** of an Insured Person (for example, Loss of an Insured Person that the Organization is neither permitted nor able to indemnify), we will first pay such Loss on behalf of the Insured Person under the Management Liability Coverage Part (Directors & Officers Liability, Insuring Agreement A.1 for individual Insured Persons), until the limit of that Coverage Part is exhausted. Only then (if Loss remains) will we proceed to make payments under the other Coverage Parts in the order stated above for any remaining Loss.

SECTION XIII. CHANGES IN EXPOSURE

1. **Change in Control (Transactions Involving the Named Insured):** If during the Policy Period any of the following events occurs:
    1. The Named Insured merges into or consolidates with another entity such that the Named Insured is not the surviving entity; **or** any person, entity or group of affiliated persons/entities acquires ownership of more than 50% of the outstanding voting securities of the Named Insured (representing the present right to vote for the election of directors or equivalent management positions of the Named Insured);
    2. The Named Insured sells more than 50% of its assets to any person or entity (or group of persons or entities acting in concert);
    3. The Named Insured completes an initial public offering of its securities, or effects a reverse merger into a publicly traded entity, such that the Named Insured becomes a publicly held company; **or**
    4. The Named Insured becomes a Debtor in Possession, or an administrator, receiver, conservator, liquidator, trustee or similar official is appointed to supervise, manage, or take control of the Named Insured (including the point at which the Named Insured emerges from bankruptcy protection),

    (each of the above being a **Change in Control**), then you must give written notice to us of such Change in Control as soon as practicable, but in no event later than 60 days after the effective date of the transaction or event. Upon a Change in Control, coverage under all Coverage Parts shall continue in force until the end of the Policy Period, but only with respect to Claims for Wrongful Acts (or, where applicable, other covered

events) that occur entirely **before** the effective date of the Change in Control. No coverage shall be available under this Policy for any Wrongful Act, error, omission, or other event occurring on or after the effective date of the Change in Control.

After a Change in Control, the entire remaining premium for this Policy shall be deemed fully earned as of the date of the transaction (meaning no refunds shall be due). You shall have the right, within 60 days of the Change in Control, to request an extension of coverage for the run-off period specified in the Declarations (the **Run-Off Coverage Period**). This Run-Off Coverage, if purchased, will extend the reporting period under this Policy (for the affected Coverage Parts) to allow Claims to be reported during the Run-Off Coverage Period, but only for covered Wrongful Acts (or other covered events) that occurred prior to the effective date of the Change in Control. We will issue a Run-Off endorsement providing such Extended Reporting Period if you elect it and pay the additional premium stated in the Declarations for the Run-Off Coverage. The Run-Off Extended Reporting Period (if purchased) shall begin on the day immediately following the effective date of the Change in Control. If a Run-Off Extended Reporting Period is purchased pursuant to this section, no separate Extended Reporting Period under section VII above will apply for the affected Coverage Parts.

2. **Acquisition or Creation of a Subsidiary (or New Plan):** If, before or during the Policy Period, the Organization (i) acquires Control of an entity (by acquiring more than 50% of its voting securities or by acquiring substantially all of its assets), **or** (ii) creates or acquires a new Subsidiary, **or** (iii) creates or acquires a new Plan subject to the Fiduciary Liability Coverage Part, then such newly acquired or created organization or Plan shall automatically be covered under this Policy, but only for Wrongful Acts (or covered conduct) taking place after the effective date of such acquisition or creation.

   However, if the assets or revenues of any acquired entity exceed 10% of the total consolidated assets or revenues of the Named Insured (as reflected in the Named Insured's most recent audited financial statements as of the inception of this Policy), you must provide written notice of the acquisition to us as soon as practicable (but no later than 90 days after the effective date of the acquisition or creation). We reserve the right to impose additional or different terms, conditions, and/or to charge a reasonable additional premium as a condition of extending coverage to such large acquisition or newly formed entity beyond the initial 90-day period. Coverage for any such acquired entity or created Subsidiary beyond 90 days from the transaction is contingent upon your agreement to any additional terms and payment of any required premium. If agreement on terms or premium cannot be reached, coverage for the new entity may cease after 90 days from the acquisition.

   This section XIII.B does not apply to any Claim based upon or arising out of any Wrongful Act (or **Related Wrongful Acts**) that occurred in whole or in part **before** the date the new entity became a Subsidiary or was merged or consolidated with the Organization. In addition, no coverage shall apply to Loss arising from any act, error, or omission of the new entity or its Insured Persons that occurs after the date of acquisition but is related to acts or omissions that took place before the acquisition. (Such prior acts

or related acts may be considered for coverage under a separate policy or endorsement, if available and negotiated with us.)

3. **Loss of Subsidiary Status (Sale or Divestiture):** If any organization ceases to be a **Subsidiary** before or during the Policy Period (for example, due to sale, dissolution, or other divestiture such that the Named Insured no longer maintains Control of that entity), then coverage under this Policy for such entity and its Insured Persons shall continue but only for Claims for Wrongful Acts that occurred entirely during the time that entity was a Subsidiary. In other words, after the date the entity ceases to be a Subsidiary, no coverage shall apply under this Policy for any new Wrongful Acts (or other covered events) by that entity or its Insured Persons.

If a Plan insured under the Fiduciary Liability Coverage Part is terminated before or during the Policy Period, coverage for such Plan (and any Insureds in their fiduciary capacities with respect to that Plan) will continue in force until the expiration of the Policy Period (or earlier termination of the Fiduciary Liability Coverage Part), but only for Wrongful Acts or breaches of fiduciary duty that occurred prior to the date the Plan was terminated. Thereafter, no coverage under this Policy shall apply for acts, errors or omissions in the administration or management of the terminated Plan, except to the extent an Extended Reporting Period applies.

SECTION XIV. APPLICATION (REPRESENTATIONS AND SEVERABILITY)

You (the Insureds) represent and acknowledge that the statements and information contained in the **Application** for this Policy are true, accurate, and complete, and that we have issued this Policy in reliance upon the truth and accuracy of those representations. The Application (and all written materials submitted or created as part of the underwriting process, including any warranties or supplemental information provided to us) is deemed to be incorporated into and constituting a part of this Policy.

If the Application contains any misrepresentation or omission of a material fact, and if such misrepresentation or omission materially affected either the acceptance of the risk or the hazard assumed by us, then no coverage shall be afforded under this Policy for any Claim involving any Insured who knew, as of the inception date of this Policy, the facts that were not truthfully disclosed in the Application. The foregoing applies whether or not the particular Insured actually knew that the Application contained such misrepresentation or omission. For purposes of determining the application of this provision:

1. Knowledge of any fact or omission by one Insured Person (including any Insured Person) shall not be imputed to any other Insured Person. No Insured Person shall be denied coverage based on a misrepresentation in the Application, unless that individual actually knew the Application was untrue with respect to the material facts at issue.
2. Only the knowledge of a **Senior Executive** shall be imputed to the **Organization**. Thus, the **Organization**'s coverage (and any coverage for its **Plans**) will be excluded due to a misrepresentation or omission in the **Application** only if a **Senior Executive** knew the true facts that were not disclosed. Knowledge of any other **Insured Person** who is not also a **Senior Executive** will not be imputed to the **Organization**.

In no event will we **rescind** or void this Policy in its entirety based on misrepresentations in the Application. However, this provision does not prevent us from denying or limiting coverage as to a specific Insured or Claim if the circumstances so warrant, as provided above. This Policy is non-rescindable by us after inception for any reason other than non-payment of premium.

SECTION XV. ACTION AGAINST THE INSURER

No claimant or other party may include the Insurer in any Claim filed against an Insured, and an Insured may not join, implead, or otherwise bring the Insurer into such a proceeding as a third party.

No action at law or in equity may be brought against the Insurer to recover under this Policy unless, as conditions precedent: (i) the Insured has fully complied with every term and condition of the Policy, and (ii) the Insured's liability for Loss has been fixed by a final, non-appealable judgment or by a written settlement signed by the Insured, the claimant, and the Insurer.

For coverage written on a first-party basis—including any coverage under the Cyber Coverage Part for a Data Incident or other direct loss—no action may be taken against the Insurer unless all Policy terms have been met, including timely notice. The Insured must wait at least ninety (90) days after submitting a sworn proof of loss with full particulars before starting any action, and any such action must be brought within two (2) years after the Insured first discovered the event or loss, unless a longer period is required by law.

Nothing in this clause grants a third party any right to sue the Insurer directly except as provided by applicable law; it governs only actions brought by an Insured under this Policy.

SECTION XVI. ASSIGNMENT

No change, modification, or assignment of interest under this Policy shall be valid unless made by a written endorsement issued by us and expressly made part of this Policy. This Policy (and any rights or interests hereunder) may not be assigned by any Insured without our prior written consent, which may be granted or withheld in our sole discretion. Any assignment made without our written consent shall be null and void as to us.

SECTION XVII. NAMED INSURED'S AUTHORITY

By acceptance of this Policy, the Named Insured is authorized to act on behalf of all Insureds with respect to all matters regarding this Policy. In particular (but without limitation), the Named Insured will act on behalf of all other Insureds for the purposes of: giving and receiving notices (including notice of cancellation or nonrenewal), paying premiums and receiving any return premiums, electing or declining any Extended Reporting Period or other optional coverages, endorsing the Policy, consenting to any settlement (to the extent such consent is required from an Insured), and otherwise managing or administering this Policy. All Insureds agree that the Named Insured shall be the sole agent for and represent all Insureds in such matters.

SECTION XVIII. CANCELLATION

1. **By Us (Non-Payment of Premium):** We may cancel this Policy or any Coverage Part **only** for non-payment of premium. In the event we must cancel for non-payment, we will provide written notice to the Named Insured at least twenty (20) days (or such longer period as may be required by applicable law) before the effective date of cancellation. The notice will state the effective date of cancellation, and the Policy Period shall terminate on that date if the premium remains unpaid. If you remit the full premium owed during the notice period, the cancellation shall not take effect and coverage will continue uninterrupted. (Except for non-payment of premium, we will not cancel this Policy during the Policy Period.)
2. **By You (Named Insured):** The Named Insured may cancel this Policy or any Coverage Part by giving us prior written notice of the desired cancellation date. The cancellation will be effective on the date we receive your notice (unless a later date is specified by you). If the Named Insured cancels the Policy, we will refund any unearned premium on a pro-rata basis for the unused portion of the Policy Period. Our tender of any return premium is not a condition precedent to the effectiveness of cancellation, but will be made as soon as practicable after cancellation.
3. **Non-Renewal:** If we elect not to renew this Policy (or a specific Coverage Part), we will provide the Named Insured with no less than sixty (60) days advance notice of non-renewal prior to the expiration of the Policy Period (or such notice period as required by state law). The notice will be sent to the Named Insured's address shown in the Declarations (or the last known address on file) and will include the reason for non-renewal if required by law.

SECTION XIX. BANKRUPTCY OR INSOLVENCY

The bankruptcy, insolvency, receivership or dissolution of any Insured (including any Organization or any Insured Person) shall not relieve us of our obligations under this Policy. In the event a liquidation or reorganization proceeding is commenced by or against the Organization (under federal bankruptcy law or any similar law), the Organization and the Insureds agree to waive and release any automatic stay or injunction which may apply in such proceeding to this Policy or any proceeds of this Policy. The Insureds further agree that, if requested by us, they will cooperate in obtaining relief from any such stay or injunction to allow the investigation, defense, settlement, payment, or advancement of Loss under this Policy.

SECTION XX. REFERENCES TO LAWS

Any statute, act, or code mentioned or referenced in this Policy (including in any endorsement) is deemed to include all amendments to such laws and all rules or regulations promulgated under such laws. If a statute, act, or code is mentioned in this Policy and is followed by the phrase "or any similar law," it shall be construed to include any similar federal, state, local or foreign law, common law, or regulation that is comparable in intent or effect to the cited law.

SECTION XXI. MOST FAVORABLE JURISDICTION FOR CERTAIN DAMAGES

Certain types of damages, fines, or penalties may not be insurable under some laws. It is the intent of this Policy to afford coverage to the fullest extent permitted by law for punitive, exemplary, and multiplied damages, and for civil fines and penalties, to the extent such matters

constitute Loss under the Policy. Accordingly, the insurability of such damages, fines or penalties shall be determined under the internal laws of any applicable jurisdiction that most favors coverage for the Insured for such damages or penalties. This means that if any jurisdiction connected to the Claim, the Insured, the Policy, or the Insurer permits insurance coverage for punitive, exemplary, or multiplied damages (or for specific statutory fines or penalties), then that jurisdiction's law may be applied (at the Insured's request) in determining the insurability of those amounts, even if the Claim is brought elsewhere.

Specifically, with respect to:

1. any judgment or award that includes punitive, exemplary, or multiplied damages;
2. any civil fine or penalty assessed against an Insured Person pursuant to Section 2(g)(2)(B) of the U.S. Foreign Corrupt Practices Act (15 U.S.C. §78ff) or Section 308(a) of the Sarbanes-Oxley Act of 2002 (15 U.S.C. §7246(a)), or any similar statutory penalty; **and**
3. any other matters which are uninsurable under the law that governs this Policy,

the issue of insurability shall be resolved by reference to the applicable law that most favors coverage for such Loss. We will not contend that such damages, fines, penalties or other Loss is uninsurable under this Policy except to the extent that it is uninsurable under **any** applicable law that has a significant connection to the Claim or to the Insured seeking coverage.

SECTION XXII. ADDITIONAL CONDITIONS

1. **Changes to the Policy:** Notice to or knowledge possessed by any agent, broker, or other person shall not effect a waiver or change in any part of this Policy, nor prevent us from asserting any right under the terms of this Policy. This Policy can only be changed, modified, or waived by a written endorsement issued by us and made a part of this Policy. No representative of the Insurer is authorized to make or agree to any alteration to the Policy except by formal endorsement.
2. **Titles and Headings:** The titles, headings, and captions in this Policy (including any endorsements) are included for convenience or reference only. They are not part of the terms of the insurance contract and shall not be considered in determining the meaning or effect of any provisions of this Policy.
3. **Premium and Adjustments:** You, as the Named Insured, agree to pay all premiums due for this Policy to us or to our authorized agent in accordance with the terms of the invoice or billing statement. The premium amount stated in the Declarations is the minimum premium for the Policy Period. If during the Policy Period there are changes in exposure or coverages that materially increase our risk (such as the acquisition or creation of a new Subsidiary, a merger, an Initial Public Offering, or the addition of new Coverage Parts or Insuring Agreements by endorsement), we reserve the right to adjust the premium during the Policy Period or upon renewal. Any additional premium charge or return premium due as a result of such changes will be calculated in accordance with our rules and rates. The Named Insured agrees to pay any additional premium reasonably required for an increase in exposure or coverage, and we will refund any return premium due for a decrease in exposure or elimination of coverage, pro rata for the time such coverage was not provided.

4. **Choice of Law and Forum:** This Policy, including its construction, application, and validity, shall be governed by the internal laws of the state specified in the Declarations as the principal address of the Named Insured. Any disputes involving this Policy shall be resolved in accordance with the laws of that jurisdiction, without regard to its conflict-of-law principles. (If no state is specified, or if the Named Insured's address is outside the United States, then the law of the State of New York shall apply.) Unless otherwise agreed by the parties, any litigation concerning this Policy shall be brought in a competent court in the chosen jurisdiction whose law applies.
5. **Other Insurance:** This Policy responds only after every other valid and collectible insurance that covers the same Loss, unless that other insurance is expressly written to be excess of this Policy and cites this Policy's form number. If a policy you purchased for the same risk covers the Loss, this Policy will apply strictly in excess of that policy's limits or, at the Insurer's sole option, on a primary basis with the right to seek contribution from the other insurer. The Insurer's payment will not exceed the proportion that this Policy's Limit of Liability bears to the combined limits of all insurance available for the Loss.

Further, if any Claim or Loss covered under this Policy is also covered, in whole or in part, under one or more other policies issued by us (or any member company or affiliate of ours) to any Insured, our maximum aggregate liability under all such policies combined shall not exceed the largest single available limit of liability under any one of those policies. This means that you cannot recover more than once from us for the same Claim or Loss. The coverage provided under multiple policies issued by us for the benefit of an Insured shall not be duplicated or stacked. Any amounts paid under one such policy will reduce the limits available under the other policy (or policies) issued by us for the same Loss, and we may choose which policy or policies will respond.

(The above Other Insurance clause does not apply to insurance policies specifically arranged to be excess of this Policy, such as an excess Side-A DIC policy, nor will it operate to dilute or impair such excess insurance. It is intended to prevent double recovery or the unintended stacking of limits where the Insured has multiple policies from the same insurer covering overlapping risks.)

SECTION XXIII. COMMON EXCLUSIONS – APPLICABLE TO ALL LIABILITY COVERAGE PARTS

We shall not be liable to pay any Loss (including Defense Costs) in connection with any Claim made against any Insured under any Liability Coverage Part of this Policy:

1. **Profit or Fraud:** To the extent the Claim is brought about or contributed to by: (a) an Insured gaining any personal profit, financial advantage, or other remuneration to which they were not legally entitled; **or** (b) the deliberate fraudulent act or criminal act of any Insured. However, this exclusion shall not apply unless and until there is a final, non-appealable adjudication in the underlying proceeding establishing that such conduct occurred. (For example, this exclusion will not apply until a trial court judgment or other final adjudication finds that an Insured committed deliberate fraud or obtained an illegal profit, and that judgment is no longer subject to appeal.)

2. **Prior Notice / Prior Claim:** Based upon, arising out of, or in any way involving any Wrongful Act or any fact, circumstance or situation which has been the subject of any notice of claim or potential claim given before the inception of this Policy under any other insurance policy or coverage part of which this Policy is a direct or indirect renewal or replacement. In other words, if you have given notice of a claim or circumstance to a prior insurer (or under a prior policy issued by us) before the start of this Policy Period, any continuation of that matter is excluded from coverage under this Policy.
3. **Known Wrongful Acts (Prior Knowledge):** Based upon, arising out of, or in any way involving any Wrongful Act (or Interrelated Wrongful Act) that any **Senior Executive** of the Organization was aware of prior to the **Prior Acts Date** stated in the Declarations (or, if no Prior Acts Date is specified, prior to the inception date of the applicable Coverage Part), if such **Senior Executive** had reason to believe at that time that such Wrongful Act could reasonably be expected to result in a Claim. This exclusion applies only with respect to an Insured who had such knowledge or reason to believe. It will not apply to any other Insured who did not have such knowledge (see Imputation clause below).
4. **Prior & Subsequent Subsidiary Acts:** Based upon, arising out of, or in any way involving:
    1. any Wrongful Act actually or allegedly committed **before** the effective date that any entity became a **Subsidiary** (or before the effective date of a merger or consolidation in which the Organization is the surviving entity), if such Claim is made against an Insured in their capacity as an Insured of that entity;
    2. any Wrongful Act actually or allegedly committed **on or after** the effective date an entity became a Subsidiary (or was merged with the Organization) if such Wrongful Act, **together with** a Wrongful Act committed or allegedly committed before the date the entity became a Subsidiary or was merged, would constitute **Related Wrongful Acts**; **or**
    3. any Wrongful Act actually or allegedly committed **after** the date an entity ceases to be a Subsidiary, if such Claim is made against an Insured in their capacity as an Insured of that former Subsidiary.

    (This exclusion ensures that we do not insure, under this Policy, conduct of an acquired entity that took place prior to acquisition (or conduct after acquisition that is continuous of pre-acquisition conduct), or conduct of an entity after it has been sold or dissolved. Coverage for such acts would need to be negotiated separately.)

5. **Contamination:** Based upon, arising out of, or in any way involving any actual, alleged, or threatened discharge, dispersal, release, escape, seepage, migration, or emission of Contaminants into or on real or personal property, water, air, or any other environmental medium; **or** any direction or request to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize Contaminant. "**Contaminats**" includes, but is not limited to, any solid, liquid, gaseous or thermal irritant or pollutant, smoke, vapor, soot, fumes, acids, alkalis, chemicals, hazardous substances, waste, biological or infectious agents, mold,

fungi, spores, electromagnetism, nuclear materials, radiation, or any other substance defined by environmental law as a pollutant or contaminant.

Imputation and Severability of Exclusions: For purposes of determining the applicability of the above exclusions, no Wrongful Act, knowledge, or state of mind of any Insured Person will be imputed to any other Insured Person. Only the Wrongful Acts, knowledge, or conduct of a past, present or future Chief Executive Officer or Chief Financial Officer of the Named Insured shall be imputed to the **Organization** (and only for purposes of determining if an exclusion applies to claims against the Organization).

Where an exclusion above requires a final adjudication in the underlying proceeding (such as the Profit/Fraud exclusion), we will provide defense coverage for Insureds until such time as the required adjudication establishes that the exclusion applies, subject to the terms and conditions of this Policy. If any Insured is exonerated from the allegations or conduct at issue, this Policy will continue to provide them coverage to the extent of its terms.

EMPLOYMENT PRACTICES LIABILITY

THIS IS A CLAIMS-MADE AND REPORTED COVERAGE PART. Except as otherwise provided, coverage applies only to Claims first made against an Insured during the Policy Period (or any Extended Reporting Period) and reported in accordance with this Policy's terms. All Loss, including Defense Costs, will reduce and may exhaust the Limit of Liability. Please read this Coverage Part carefully.

SECTION I: INSURING AGREEMENTS

Insuring Agreement A – Employment Practices Liability: We agree to pay on behalf of the **Insured** all **Loss** resulting from a **Claim** first made against the **Insured** during the **Policy Period** (or any Extended Reporting Period) for an **Employment Practices Wrongful Act** and reported to us in accordance with Section IX. of this **Policy**'s General Terms and Conditions.

Insuring Agreement B – Third Party Employment Practices Liability: We agree to pay on behalf of the **Insured** all **Loss** resulting from a **Claim** first made against the **Insured** during the **Policy Period** (or any Extended Reporting Period) for a **Third Party Wrongful Act** and reported to us in accordance with Section IX. of this **Policy**'s General Terms and Conditions.

SECTION II: DEFINITIONS

For purposes of this Coverage Part, the following terms have the meanings set forth below:

1. **Claim** means:
    1. a written demand for monetary or non-monetary relief (including injunctive relief) made against any **Insured**;
    2. a civil, criminal, administrative, investigative or regulatory proceeding initiated against any **Insured**, including any proceeding before the Equal Employment Opportunity Commission or any similar federal, state or local governmental body;
    3. a written demand for arbitration, mediation or other alternative dispute resolution proceeding against any **Insured**.

    However, **Claim** does not include any labor or grievance arbitration or other proceeding pursuant to a collective bargaining agreement.

    A **Claim** will be deemed first made on the date an Insured first receives written notice of such **Claim**.

2. **Insured** means the **Organization** and any **Insured Person**.
3. **Insured Person** means any natural person who was or is:
    1. an **Executive**; or
    2. an **Employee**.
4. **Loss** means the amount that an **Insured** becomes legally obligated to pay as a result of a **Claim**, including compensatory damages, settlements, front pay and back pay, judgments, prejudgment or post-judgment interest, statutory attorney fees pursuant to a covered judgment against an **Insured**, punitive or exemplary damages or the multiplied portion of any multiplied damages award, and **Defense Costs**, except to the extent any such amounts are uninsurable as a matter of applicable law.

    Loss does **not** include: (1) fines, penalties, taxes, or sanctions imposed against an Insured; (2) the cost of compliance with any non-monetary or injunctive relief; (3) any amount which constitutes the cost of fulfilling any contract, grant, or agreement, including any employment contract or Contractor Agreement, or any obligation to reinstate or hire an **Employee**; (4) any wages, salaries, benefits, or other compensation owed to an **Employee** for work performed, other than front pay or back pay damages; and (5) any amounts representing severance pay, overtime, vacation pay, sick days, medical or disability benefits, retirement or pension benefits (or the equivalent value of such benefits) owed to any current, former, or prospective **Employee**.

5. **Retaliation** means any actual or alleged adverse employment action taken against an **Employee** as a response to, or reprisal for, the **Employee**'s exercise of a legally protected right. **Retaliation** includes adverse actions against an **Employee** for: disclosure or reporting of wrongdoing by an **Insured** to a superior or governmental agency (i.e., "whistleblowing"); the filing of or participation in any claim, complaint or proceeding under a legally protected right (including but not limited to claims under anti-discrimination laws, wage and hour laws, workers' compensation laws, the Family and Medical Leave Act, or similar federal, state or local laws); or refusal to violate a law or to participate in unlawful activities.
6. **Wrongful Act** means an **Employment Practices Wrongful Act** or a **Third Party Wrongful Act**.

G. **Employment Practices Wrongful Act** – means any of the following acts, errors, or omissions committed by an **Insured** in their capacity as such, when directed against an **Employee**:

1. wrongful dismissal, discharge, or termination of employment (whether actual or constructive), including breach of an express or implied contract of employment;
2. workplace harassment, including sexual harassment (such as unwelcome sexual advances, requests for sexual favors, or other conduct of a sexual nature conditioning employment benefits on submission to such conduct, or creating an intimidating, hostile, or offensive work environment), and other harassment on the basis of any legally protected status;
3. unlawful discrimination with respect to compensation, terms, conditions or privileges of employment, based on such person's race, color, religion, age, sex, gender, gender identity or expression, sexual orientation, national origin, ancestry, marital status, military or veteran status, disability, medical condition, pregnancy, genetic information, or any other characteristic or classification protected by applicable law;
4. wrongful failure or refusal to hire, promote, or grant tenure; wrongful demotion, discipline, or deprivation of career opportunity; or negligent evaluation or negligent supervision, training or retention;
5. failure to adopt or enforce adequate workplace or employment policies or procedures;
6. workplace bullying or other abusive or hostile work environment conduct (even if not based on a legally protected status);
7. employment-related misrepresentation, defamation (including libel or slander), invasion of privacy, or other personal injury tort committed as part of or related to an employment relationship or prospective employment relationship; or
8. **Retaliation**.

H. **Third Party Wrongful Act** – means any actual or alleged harassment (including sexual harassment) or unlawful discrimination by an **Insured** when directed against any **Affected Individual**. **Third Party Wrongful Act** includes refusal to do business with, or the creation of a hostile, intimidating, or offensive environment for, any **Affected Individual**, on the basis of any legally protected characteristic of such person.

9. **Affected Individual** means any natural person (other than an **Employee**) who is a past, present, or prospective customer, client, vendor, supplier, business invitee or other third-party individual with whom an **Insured** interacts in a business or professional capacity.

SECTION III: LIMITATIONS OF LIABILITY AND RETENTIONS

1. **Limit of Liability – General Aggregate:** The Limit of Liability stated in the Declarations for this Employment Practices Liability Coverage Part is the maximum amount we will

pay for **all Loss** for all Claims combined under this Coverage Part. This aggregate Limit of Liability applies regardless of the number of Claims, Insureds, or claimants. We shall have no obligation to pay any Loss, or to defend any Claim, once the applicable Limit of Liability is exhausted.

2. **Limit of Liability – Each Claim:** Subject to the general aggregate limit above, the most we will pay for Loss arising from any single Claim (including all Claims deemed one Claim under paragraph D below) is the Each Claim Limit of Liability specified in the Declarations for this Coverage Part. If no separate "each claim" limit is stated, then the Coverage Part's aggregate Limit of Liability applies to each Claim as well.
3. **Retention:** The Retention amount stated in the Declarations for this Coverage Part (if any) applies to each Claim. The Retention applies to Loss, including Defense Costs, and we have no obligation to pay any Loss or Defense Costs unless and until the Insured has satisfied the applicable Retention. The Insured shall bear the Retention at its own risk and we shall only be liable for Loss in excess of the Retention. If we, at our discretion, elect to pay any amounts within a Retention, the Named Insured shall reimburse us for such amounts upon our request. In the event a single Claim triggers more than one coverage part or Insuring Agreement under this Policy, only one Retention shall apply (whichever is highest). No Retention applies to Loss or Defense Costs in a Claim, if any, where indemnification of such Loss by the Named Insured is legally prohibited or unenforceable.
4. **Related Claims – Single Claim:** All Claims based upon or arising out of the same Wrongful Act or **Related Wrongful Acts** shall be deemed to constitute a single Claim and shall be deemed first made on the date the earliest of such Claims was first made against an Insured, or the date when notice of a potential Claim or Wrongful Act was first given to us, whichever is earlier. All such Claims shall be subject to one Each Claim Limit of Liability and one Retention. No coverage will be available for Claims or potential Claims of which any Insured had knowledge prior to the inception of this Policy (or the Retroactive Date, if applicable), unless such knowledge was disclosed in the Application.
5. **Defense Costs Within Limits:** Any Defense Costs paid under this Coverage Part are part of, and not in addition to, the applicable Limit of Liability. Payment of Defense Costs will reduce (and may exhaust) the available limits of coverage. If the Limit of Liability is exhausted by payment of Loss, our obligations under this Coverage Part shall terminate, including any further duty to defend or continue to defend.
6. **Other Insurance:** Coverage under this Coverage Part shall apply only as excess over any other valid and collectible insurance (including any insurance available to an Insured in their capacity as an employee or officer of another entity) that applies to a Claim, unless such other insurance is written specifically excess of this Coverage Part. This Coverage Part will not contribute with any other insurance that applies to a Claim.

SECTION IV: EXCLUSIONS

We shall not be liable to pay any **Loss** in connection with any **Claim** based upon, arising out of, or attributable to::

1. **Bodily Injury/Property Damage:** any actual or alleged bodily injury, sickness, disease, death, or emotional distress of any person, or for any damage to, destruction of, or loss

of use of any tangible property; provided, however, that this exclusion does not apply to that portion of a **Claim** for a **Wrongful Act** seeking **Loss** for mental anguish or emotional distress.

2. **Personal Injury (Non-Employment-Related):** any actual or alleged false arrest, detention or imprisonment, wrongful entry or eviction, invasion of privacy, libel, slander, defamation, malicious prosecution, humiliation or other personal injury, when such **Claim** does not arise out of a **Wrongful Act**.
3. **Wage and Hour Laws:**

   (1) any actual or alleged violation of the responsibilities, obligations or duties imposed by any federal, state or local wage and hour law, fair labor standards law, labor minimum wage law, overtime law, off-the-clock work law, rest and meal period law, payroll deduction or recordkeeping law, or any similar law governing wage, hour, wage payment, or employee classification matters, including without limitation the Fair Labor Standards Act (FLSA) and state or local equivalents; or

   (2) seeking wages, overtime pay, minimum wages, reimbursement of expenses, liquidated damages (for wage violations), penalties or related relief.

   This exclusion applies to all such wage and hour or payroll-related **Claims** whether brought directly, derivatively or representative of others (including as a class). However, this exclusion only applies to that portion of **Loss** or **Defense Costs** that implicates (1) or (2) of this exclusion, and does not apply to any separate **Loss** that is alleged in the same **Claim** (including any associated **Defense Costs**).

4. **Workers' Compensation and Similar Laws:**

   (1) any obligation of any **Insured** under any workers' compensation, unemployment insurance, social security, disability benefits, or similar law providing benefits for work-related injuries or illnesses; or

   (2) any workplace injury or occupational disease to an **Employee**.

   However, this exclusion only applies to that portion of **Loss** or **Defense Costs** that implicates (1) or (2) of this exclusion, and does not apply to any separate **Loss** that is alleged in the same **Claim** (including any associated **Defense Costs**).

5. **ERISA and Employee Benefits:**

   (1) any actual or alleged violation of the responsibilities, obligations or duties imposed by ERISA, the Occupational Safety and Health Act (OSHA), the Consolidated Omnibus Budget Reconciliation Act (COBRA), or any similar federal, state or local statutory or regulatory law or common law that governs employee health, pension, welfare, retirement, or disability benefits (including any amendments to or regulations under such laws); or

   (2) any benefits due under an employee benefit plan (whether the plan is insured or self-funded), or for the improper administration of any employee benefit plan.

However, this exclusion only applies to that portion of **Loss** or **Defense Costs** that implicates (1) or (2) of this exclusion, and does not apply to any separate **Loss** that is alleged in the same **Claim** (including any associated **Defense Costs**).

6. **Prior or Pending Proceedings:** any civil, criminal, administrative, investigative or arbitral proceeding against any Insured which was pending on or existed prior to the Pending or Prior Proceedings Date stated in the Declarations for this **Coverage Part** (if applicable), or the same or any substantially similar fact, circumstance or situation underlying or alleged in such prior proceeding.
7. **Prior Notice:** any fact, circumstance, situation, transaction, event, or **Wrongful Act** which, before the inception date of this **Policy**, was the subject of any notice given by any **Insured** under any other policy of insurance, or any claim which has been made prior to the **Policy Period** (including any litigation or administrative proceeding which prior to the **Policy Period** an **Insured** knew was threatened or pending).
8. **Knowledge / Failure to Disclose:** any **Wrongful Act** or any fact, circumstance or situation that any **Insured** had knowledge of prior to the inception date of this **Policy**, and reasonably expected could give rise to a **Claim**, and which was not disclosed to us in the **Application** or in response to any inquiry during the underwriting of this **Coverage Part**. However, this exclusion shall not apply to any **Insured** who had no knowledge of, nor reason to know of, such prior **Wrongful Act**, fact, circumstance or situation. In no event will coverage apply to any **Claim** arising from intentional nondisclosure or misrepresentation in the procurement of this insurance.
9. **Fraudulent or Intentional Misconduct:** any deliberate fraudulent act, or any willful violation of law, by an **Insured**, provided that this exclusion does not apply until a final, non-appealable adjudication adverse to the **Insured** in an action not brought by Us establishes such fraudulent act or willful violation of law
10. **Contractual Liability** any liability of others assumed by an Insured under any contract or agreement, either oral or written. This exclusion does not apply to liability that the **Insured** would have in the absence of the contract or agreement. This exclusion also does not apply to a **Claim** for breach of an employment contract **only to the extent** that such breach is asserted as part of a Claim for wrongful termination or discrimination that is otherwise an Employment Practices Wrongful Act covered by this Policy. (However, in all events, Loss shall not include any severance amounts, notice pay, or other contract payments owed under an employment or independent contractor agreement, other than front pay or back pay included in a covered judgment or settlement.)
11. **Specific Laws Exclusion** for any actual or alleged violation of: the National Labor Relations Act (NLRA); the Worker Adjustment and Retraining Notification Act (WARN); the Uniformed Services Employment and Reemployment Rights Act (USERRA); the Immigration Reform Control Act (IRCA); or any similar provisions of any federal, state or local statutory or common law (including rules or regulations thereunder). This exclusion includes any Claim arising out of or involving any collective bargaining obligations or agreements, labor union activities (such as a strike or picketing), or unfair labor practice charges. However, this exclusion shall **not** apply to the extent that a Claim alleges an Employment Practices Wrongful Act (for example, a discrimination or harassment claim)

that is otherwise covered under this Coverage Part, even if it is factually related to any of the foregoing laws or matters.

12. **Insured vs. Insured** brought by or on behalf of any Insured against any other Insured, **provided that** this exclusion shall **not** apply to: (1) any Claim brought by an Employee (or applicant for employment) in his or her capacity as such, such as an employment-related Claim; or (2) any Claim brought by an Insured Person in the form of a cross-claim or third-party claim for contribution or indemnity that directly results from a covered Claim. (For example, this exclusion precludes coverage for internal disputes between business partners or directors, except it does not bar an Employee's Claim against the company or a supervisor for an alleged Employment Practices Wrongful Act.)
13. **Other Wrongful Acts** for any act, error, omission, or matter that is outside the definition of Wrongful Act under this Coverage Part (for example, claims for professional errors or omissions, or claims that properly fall under other coverage parts or policies such as Directors & Officers Liability, Fiduciary Liability, Cyber Liability, or General Liability insurance).
14. **Breach of Employment- or Other Service-Related Agreements** for, based upon, or arising out of any actual or alleged breach of an oral or written employment, partnership, stock ownership, stock option, stock purchase, franchise, independent-contractor, temporary-employee, or recruiting-agency contract or agreement.
15. **Criminal Conviction** for, based upon, or arising out of any Employment Practices Wrongful Act or Third-Party Wrongful Act if an Insured has been finally convicted of a crime in any proceeding arising from the facts alleged in the Claim. The criminal conviction of one Insured is not imputed to any other Insured unless the other Insured approved or ratified the criminal conduct.
16. **Personal or Domestic Services** for, based upon, or arising out of allegations that a Claimant provided personal or domestic services—including cleaning, laundry, cooking, driving, childcare, eldercare, or personal financial assistance—to any Insured, whether or not compensation was owed or paid.
17. **Ownership or Control Changes / Non-Insured Entities** for, based upon, or arising out of:
    1. the Named Insured's ownership interest or participation in any company, corporation, partnership, joint venture, or other entity that is not an Insured;
    2. any change in ownership of, or acquisition of or by, the Named Insured;
    3. any Employment Practices Wrongful Act or Third-Party Wrongful Act committed by an entity or individual who was not an Insured on the date of the alleged act; or
    4. any exposure resulting from a Material Risk Changing Event that was not disclosed to the Company within sixty (60) days of such event.
18. **Violent or Terroristic Acts** for, based upon, or arising out of actual or threatened acts of physical harm or violence to persons or property committed for the purpose of (a) intimidating, coercing, or exacting revenge on a governmental authority; (b) creating public fear or panic; or (c) expressing or advancing a political, ideological, religious, social, or economic objective.

SECTION V: NOTICES AND CONDITIONS

1. **Reporting of Claims:** As a condition precedent to coverage under this Coverage Part, the Insured must provide us with written notice of any Claim as soon as practicable after any Executive Officer or Risk Manager of the Named Insured first becomes aware of the Claim, but in no event later than: (i) 60 days after expiration of the Policy Period (unless an Extended Reporting Period applies, in which case before the end of the Extended Reporting Period); or (ii) any specific reporting deadline required by law. Notice of a Claim shall include, at minimum, the date the Claim was received, a description of the Claim and the alleged Wrongful Act, the identity of the claimant(s) and Insured(s) involved, and copies of any written demands, complaints, or notices received in connection with the Claim. Notice shall be given in writing to the insurer designee specified in the Declarations. Any Claim properly reported in accordance with this section will be deemed to have been first made within the Policy Period.
2. **Notice of Potential Claims (Circumstances):** If during the Policy Period an Insured becomes aware of any specific Wrongful Act or circumstance that may reasonably be expected to give rise to a Claim against an Insured, and if the Insured reports such Wrongful Act or circumstance to us in writing before the end of the Policy Period (with particulars as to the nature of the Wrongful Act, relevant dates, identities of potential claimants and responsible Insureds, and details of any potential damages), then any Claim subsequently arising from such reported Wrongful Act or circumstance shall be deemed to be a Claim first made during the Policy Period (on the date we received the notice of circumstance). We may, at our sole discretion, investigate any such reported circumstance and take any actions that we deem appropriate. If the Insured fails to give notice of a circumstance in accordance with this provision, any subsequent Claim arising from such circumstance will not be deemed made during the Policy Period and will not be covered under this Policy (unless it is first made during a subsequent policy period and covered under that policy).
3. **Defense and Settlement:** We shall have the right and duty to defend any Claim against an Insured seeking Loss covered by this Coverage Part. We have the right to select defense counsel to represent the Insured, and the Insured shall cooperate fully with the appointed counsel and with us in the investigation, defense, settlement or appeal of any Claim. The Insured shall not admit liability, incur any Defense Costs, assume any contractual obligation, voluntarily make any payment, or settle any Claim without our prior written consent (such consent not to be unreasonably withheld). We will not settle any Claim without the consent of the Named Insured, which consent shall not be unreasonably withheld. If the Insured refuses to consent to a settlement offer acceptable to the claimant and recommended by us, our liability for that Claim shall not exceed the amount for which the Claim could have been settled (including Defense Costs incurred up to the date of such refusal), and we shall have the right to withdraw from the defense by tendering control of the defense to the Insured, subject to the Retention.
4. **Allocation of Loss (Covered vs. Uncovered):** If a Claim includes both covered matters and uncovered matters (including allegations or demands for relief that are not covered, and/or Claims against persons or entities who are not Insureds), we will allocate Loss

between covered and uncovered amounts. We shall allocate Defense Costs on an equitable basis, taking into account the relative legal exposures, and we will only pay Defense Costs on account of covered matters or covered parties. Similarly, any damages or other monetary amounts shall be allocated between covered Loss and uncovered loss based on the established facts, legal principles, or the parties' agreement. If we and the Insured cannot agree on a fair allocation, we will advance Defense Costs we deem reasonable until a different allocation is negotiated, arbitrated or judicially determined.

5. **Subrogation:** If we pay any Loss under this Coverage Part, we shall be subrogated to the Insured's rights of recovery against any third party (other than against someone who is an Insured under this Policy). The Insured will execute all papers required and will do everything necessary to secure and preserve such subrogation rights, including the execution of any documents necessary for us to bring suit in the Insured's name. We agree not to exercise any such subrogation rights against an Insured Person unless Exclusion I (Fraudulent or Intentional Misconduct) applies to that Insured Person or such Insured Person has otherwise been expressly carved out of coverage under this Policy. Any recoveries from subrogation (after deduction of our subrogation expenses) will be applied first to reimburse us and the Insured for amounts paid in connection with the Claim that were not covered due to the Retention, then to Loss paid by us, and finally to the Retention (to reimburse the Insured).
6. **Extended Reporting Period:** If either the insurer or the Named Insured chooses not to renew or if we cancel this Policy (for reasons other than non-payment of premium or Retention), the Named Insured shall have the right to purchase an Extended Reporting Period (ERP) for this Coverage Part. The ERP is not a new policy; it extends the period in which Claims first made after the end of the Policy Period may be reported, but only for Wrongful Acts that occurred entirely before the end of the Policy Period (and on or after any Retroactive Date). The Named Insured may elect an ERP of one year, two years, or three years (as offered) by providing a written request and paying the additional premium stated in the Declarations (or, if not stated, 75%, 125%, or 150% of the full annual premium for this Coverage Part for a one, two, or three-year ERP, respectively) within 60 days after the Policy Period expires. The ERP begins when the Policy Period ends and is non-cancellable and non-renewable. Any Claim first made during the ERP will be deemed made on the last day of the Policy Period, and is subject to the same Limit of Liability and Retention (no separate limits apply for the ERP). The purchase of an ERP does not extend the Policy Period or change the scope of coverage; it only permits late reporting of Claims. If an ERP is purchased, no subsequent policy issued by us (or any affiliate) will provide coverage for any Claim that would be covered by this ERP, and any such policy shall exclude such Claims by endorsement. All premium paid for the ERP is deemed fully earned at the inception of the ERP. (If this Policy is a renewal of a previous policy, any ERP purchased under that previous policy shall be separate and in addition to any ERP purchased hereunder, and shall not overlap.)
7. **Cancellation:** The Named Insured may cancel this Coverage Part (or the entire Policy) at any time by providing advance written notice to us or our authorized agent, stating when thereafter the cancellation shall be effective. We may only cancel this Coverage

Part for the following reasons: (1) non-payment of premium; (2) fraud or material misrepresentation in the obtaining of this Policy or in the presentation of a Claim; or (3) a material increase in hazard within the control of an Insured that effectively increases the risk originally accepted by us. If we cancel for non-payment of premium, we must give at least 10 days notice of cancellation to the Named Insured. If we cancel for reasons (2) or (3) above, we will give at least 30 days advance notice to the Named Insured. Notice of cancellation shall state the effective date of cancellation. The Policy Period shall terminate as of that date. If the Named Insured cancels this Coverage Part, we shall refund any unearned premium on a short-rate basis. If we cancel, any unearned premium shall be refunded pro rata. Payment or tender of unearned premium is not a condition of cancellation.

8. **Cooperation:** All Insureds must cooperate with us in the defense of any Claim and in the investigation of any potential Claim or circumstance. Upon our request, Insureds shall attend hearings and trials, assist in securing and giving evidence, and assist in obtaining the attendance of witnesses. The Insureds shall also cooperate with us (and any appointed defense counsel) in executing settlement agreements, enforcing any right of contribution or indemnity against another party, securing and enforcing any subrogation rights, and in general giving us all pertinent information and taking such actions as we deem necessary and helpful in the resolution of any Claim or circumstance. Failure to cooperate by any Insured could result in the denial of coverage for such Insured if we have been prejudiced by the lack of cooperation.
9. **Representations and Severability:** By accepting this Policy, each Insured agrees that the statements in the Application are true, accurate and complete, and were made to induce our reliance and are the basis of this Coverage Part. This Coverage Part is issued in reliance upon the truth and completeness of such statements. In the event any of the Application's statements or representations are untrue or misleading in any material respect, this Coverage Part shall be void as to any Insured who knew the truth or falsity of such statement (whether or not such Insured knew the Application contained the misrepresentation), and as to any Insured to whom such knowledge is imputed. However, the knowledge of one Insured shall not be imputed to any other Insured for purposes of determining the availability of coverage. Only the knowledge and representations of the signing executive officer of the Named Insured, or the person(s) who prepared the Application, shall be imputed to the Named Insured entity.
10. **Changes:** Notice to or knowledge possessed by any agent or other person acting on our behalf shall not effect a waiver or a change in any part of this Coverage Part. None of the provisions of this Coverage Part can be waived, changed or modified except by a written endorsement issued by us and made a part of this Policy. No broker or agent has authority to act on our behalf to alter or amend the terms of this Coverage Part.
11. **Assignment:** No assignment of interest under this Coverage Part is valid unless we provide written consent to such assignment. In the event of the death, bankruptcy or incapacity of an Insured, this Coverage Part will cover the Insured's legal representative in the same manner and to the same extent as the Insured, but only with respect to the liability of the Insured incurred prior to such death or incapacity and as otherwise covered under this Policy.

12. **Territory and Jurisdiction:** This Coverage Part applies to Wrongful Acts taking place anywhere in the world, **provided that** any Claim is made and pursued (including any related legal proceeding) within the United States of America, its territories or possessions, Puerto Rico or Canada. We shall not be obligated to provide any defense or pay any Loss in connection with any proceeding brought in any venue or jurisdiction outside of those delineated above. (If a Claim is brought outside the permitted territories, we may elect, at our sole discretion, to investigate or provide defense in such Claim; however, we are not obligated to do so.)
13. **Authorization and Notices:** By acceptance of this Coverage Part, the Named Insured shall act on behalf of all Insureds for all purposes under this Coverage Part, including but not limited to the giving or receiving of any notice, the purchase of any Extended Reporting Period, the cancellation or nonrenewal of the Policy, the payment of premiums or Retentions, and the receiving of any return premiums. Any notice, demand or other communication to the Insureds under this Coverage Part shall be directed to the Named Insured at the address shown in the Declarations and shall be deemed received upon actual receipt by the Named Insured or 3 days after mailing to the Named Insured, whichever is earlier.
14. **Conformance to Law:** Any terms of this Coverage Part in conflict with the statutes or regulations of any applicable jurisdiction are hereby amended to conform to those laws. If any provision of this Coverage Part is deemed invalid or unenforceable under applicable law, the remainder of the Coverage Part shall remain in full force and effect.
15. **Headings:** The descriptions in the headings and subheadings of this Coverage Part are solely for convenience and reference, and do not expand, limit or otherwise affect the provisions to which they relate.

End of Employment Practices Liability Coverage Part.

(All other terms, conditions, and exclusions of the Policy remain unchanged.)